

# Quarterly investor update: process map

Drawn from the analyst's spoken account. The steps are put in the order they actually happen; the narrator told them out of order. Defects are flagged, not resolved.

## 1. The steps, in the order they happen

```
Quarter closes (BD0)
|
+--> [A] Pull rent roll, compute occupancy ..... does NOT wait for the PM
|      +-- [A2] Mid-quarter move-out? yes -> draft leasing-context line
|
~~ wait for PM operating statement: due BD5, really BD7, later with a holiday ~~
|
[1] Statement arrives (START of the dependent work)
[2] Do the categories match the budget? no -> [2b] remap by hand (+ an afternoon to +2 days)
[3] Key the statement line by line into the template
[4] Compare each line to the approved fall budget
[5] Flag lines over the variance threshold ("five percent, I think")
[6] Write a one-sentence explanation for each flagged line <-- the part investors read
[7] Assemble the update (occupancy + financials + explanations + move-out line)
[8] Boss review -> wording edits -> revise
[9] Send to investor list ..... target BD10, met about 2 in 3 quarters
```

| #   | Step                              | Input                                                  | Output                                             | Owner                                   |
|-----|-----------------------------------|--------------------------------------------------------|----------------------------------------------------|-----------------------------------------|
| A   | Rent roll and occupancy           | Rent roll (analyst's own access)                       | Occupancy figure; note on any mid-quarter move-out | Analyst                                 |
| 1   | Receive operating statement       | PM's quarterly statement                               | Statement in hand                                  | Property manager (outside the firm)     |
| 2   | Check / remap categories          | Statement, budget chart of accounts                    | Statement lines mapped to budget lines             | Analyst, by hand, with no mapping table |
| 3   | Key into template                 | Mapped statement                                       | Actuals in the model                               | Analyst                                 |
| 4-5 | Compare to budget, flag variances | Actuals, fall budget                                   | List of lines over the threshold                   | Analyst (the threshold has no owner)    |
| 6   | Write explanations                | Flagged lines, the analyst's knowledge of the property | One sentence per flagged line                      | Analyst                                 |
| 7-8 | Assemble, review, revise          | Draft update                                           | Reviewed update                                    | Analyst, then boss                      |
| 9   | Distribute                        | Final update, investor list                            | Update in investors' hands                         | Analyst (the list has no named owner)   |

## 2. The starting point, and what its slipping means

**The real start is the property manager's operating statement**, not the quarter close. Only step A can begin without it. It is owned by another company, and nothing in the account says the due date is written into the management agreement or enforced.

**The slip eats the schedule:**

- On paper the analyst has BD5 to BD10, or five business days, for two days of work plus a review.
- When the statement arrives on BD7, the window is three days, with about one day of slack for the boss.
- A holiday, or a quarter where the categories change (four days of work), makes BD10 impossible before the analyst starts.

The roughly one-in-three miss rate is not an analyst problem. It is almost entirely set upstream, before the analyst touches anything.

## 3. Steps that do not wait for the statement

- Step A, rent roll and occupancy.** The narrator already does this ("that part I control").
- Could also move ahead** (the narrator does not do these today):
  - Load the fall budget into the template.
  - Draft the mid-quarter move-out line.
  - Ask the PM about known one-off events, like the March roof, so the explanation is ready before the number arrives.
  - Ask the PM whether the expense categories changed.

## 4. Undocumented rules and unowned decisions (defects)

| #  | Defect                                       | What is missing                                                                                                                                                                                                                                                                                                                         |
|----|----------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| D1 | The variance threshold                       | The narrator isn't sure of the value ("or I think it is five"). Also undefined: whether 5% applies per line or in total, whether over-budget and under-budget lines both count, whether there's a dollar floor (40% on a \$300 line is noise), and whether it's measured for the quarter or year to date. <b>Nobody owns this rule.</b> |
| D2 | The statement due date                       | BD5 is "supposed to be," with no contract term, no escalation and no consequence when it slips. The holiday rule ("later if there's a holiday") isn't defined.                                                                                                                                                                          |
| D3 | Mapping statement categories to budget lines | No mapping table exists. The PM can change categories without notice, and nobody owns that mapping.                                                                                                                                                                                                                                     |
| D4 | The occupancy definition                     | It could mean physical, economic or leased occupancy. Whether to add the move-out line is discretionary ("I usually add a line"), and "mid-quarter" isn't defined.                                                                                                                                                                      |
| D5 | Capital vs. operating classification         | The roof went through repairs and maintenance. Whether a roof section is a capital item or an operating expense is a decision with no owner. It made the quarter "look terrible."                                                                                                                                                       |
| D6 | Which budget                                 | "The budget we approved in the fall." Nobody says what happens when there's a mid-year re-forecast.                                                                                                                                                                                                                                     |

|     |                   |                                                                                                                                                  |
|-----|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| D7  | The review scope  | Nobody says what the boss checks or how fast. As described it's a wording review, so <b>no one checks the numbers</b> . No sign-off is recorded. |
| D8  | Tie-out           | There's no check that the hand-keyed totals equal the PM statement totals, though the step is hand-keyed and sometimes hand-remapped.            |
| D9  | Missed deadline   | Nothing says what investors are told when BD10 slips, or who decides to send late versus send partial.                                           |
| D10 | The investor list | Nobody owns who is on it or keeps it current.                                                                                                    |

## 5. Definition of done

The narrator never defines it; "goes out to the investor list" is implied. A proposed definition:

**The update is done when all of the following are true:**

- It went to the complete, current investor list by BD10, or a delay notice went by BD10.
- Occupancy is reported under a stated definition, with move-out context where it applies.
- Actuals tie to the PM statement totals.
- Every budget line that exceeds the written threshold has a one-sentence explanation.
- Reviewer sign-off covers the numbers as well as the wording.

## 6. Edge cases and what each does to the finished product

| Edge case                                                              | Effect on the finished update                                                                                                                               |
|------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Statement late, or a holiday in the window                             | The window shrinks to 3 days or fewer and BD10 is missed. Investors get it late with no notice (D9).                                                        |
| The PM reclassifies expense categories                                 | Two extra days and a near-certain miss. A wrong mapping invents variances or hides real ones, and the reader can't tell.                                    |
| A large one-off repair (the roof)                                      | One line spikes about 40%. The update "looks terrible" unless the explanation lands, and the capital vs. operating question (D5) changes the number itself. |
| A tenant moves out mid-quarter                                         | Occupancy understates leasing performance. If the analyst skips the optional line, investors read a false decline.                                          |
| A line has no budget counterpart (a new category, or budget line zero) | The percent variance is undefined or infinite. Under D1 nobody knows whether it needs an explanation.                                                       |
| The boss changes substance or is unavailable                           | The review step has no turnaround time, so it can push a just-on-time update past BD10.                                                                     |

## 7. Contradictions in the account

- **"It is mostly moving numbers"** against **"that is the part people actually read"** (the explanations). The analyst describes the job by its volume, not by its value.
- **"Until that lands I cannot do much"** against already doing occupancy before it lands. More of the work is independent of the statement than the narrator believes.
- **"It takes me two days"** against the schedule. Two days fits a BD7-to-BD10 window only if review is instant, and the four-day version can't fit at all. "Two days" is effort, not elapsed time.
- **Exceptions described as one-offs** ("last quarter was a mess," "if the categories thing happens again") that happen in consecutive quarters. The exception is the normal case.
- **"Review"** that only produces wording changes. It is called a control, but it checks none of the numbers.

## 8. Recommendation

**The most time goes to** steps 2–3: keying the statement line by line and, in bad quarters, remapping the categories by hand. That's up to two of the four days, and it's mechanical.

**The reader values** step 6, the one-sentence explanations. They take the least time and are the only thing investors read closely.

So the process spends its hours on the part nobody reads, and squeezes the part they do read into whatever time is left before BD10.

### Automate first

- **Steps 2–3:** ingest the statement through a maintained mapping table that flags any new or renamed category for a person to map once, instead of remapping everything.
- **Steps 4–5:** compute variances and flag lines against a written threshold (fix D1 first).
- **Step A:** occupancy from the rent roll, with mid-quarter move-outs detected automatically.
- **Tie-out (D8)** as a hard check, plus a BD5 reminder and escalation to the PM.

### Leave with a person

- **Step 6** explanations. A model can draft them from the flags; the analyst owns the words.
- **Capital vs. operating calls** (D5), approving new mappings, and the send-late decision (D9).
- **Step 8** review, widened to cover the numbers.

**Fix the start before automating anything:** put the BD5 statement date and the duty to announce category changes into the PM agreement. No amount of automation downstream recovers days the statement never delivered.